

الكيمياء Testbank

مبادئ المداسسة (1)

Chapter (1)

تیسٹ بانک الکاہتن

1) From Raghad Corporation, we have the following data: equity at the beginning 90,000\$, Dividends 13,000\$, Revenues 30,000\$, Expenses 20,000\$, Calculate the Equity at the ending of accounting period

A) 87,000\$

B) 77,000\$

C) 90,000\$

D) 120,000\$

2) Which of the following is not an external users of accounting information?

A) Internal revenue service

B) Labor Unions

C) Taxing Authorities

D) All the above are external users

3) Payments of an account payable affects the components of the accounting equation in the following way:

A) Decrease Assets & Increase Equity

B) Decrease Equity & Decrease Liabilities

C) Decrease Assets & Decrease Liabilities

D) Increase Assets & Decrease Liabilities

4) Which of the following statements about users of accounting information is incorrect?

A) Taxing Authorities are external users

B) Management is an internal user

C) Regulatory authorities are external users

D) Present Creditors are internal users

5) On December 31, 2020 statement of financial position, Uniflix Corporation reported liabilities of 7,698\$, Share Capital of 3,993\$, Retained Earnings of 6,303\$, Total Assets on December 31, 2017 are:

A) 14,001\$

B) 10,000\$

C) 17,994\$

D) 11,691\$

6) The Economic Entity Assumption states that:

- A) Assets should be initially recorded at cost and adjusted when the fair value changes
- ☒ B) Activities of an entity are to be kept separate and distinct from its owner
- C) Assets Should Be recorded at their cost
- D) None of the above

7) Ibrahim Corporation performed services cash for 22,000\$, This Transaction will:

- ☒ A) Increase Cash and Increase Service Revenue by 22,000\$
- B) Increase Accounts Receivable and Increase Service Revenue by 22,000\$
- C) Increase Cash and Decrease Accounts Receivable by 22,000\$
- D) None of the above

8) As of December 31, 2023, Osama Corp has assets of 3,500\$ and equity of 2,500\$, What are the liabilities for Osama Corp as of December 31, 2023?

- A) 2,500\$
- ☒ B) 1,000\$
- C) 1,500\$
- D) 2,000\$

9) Raghad Company had beginning retained earnings of 400,000\$,dividends of 30,000\$, net income of 120,000\$, Calculate the ending retained earnings

- ☒ A) 490,000\$
- B) 440,000\$
- C) 370,000\$
- D) 520,000

10) During the month, Wesam Company have revenues with balance of 7,000\$ and expenses with balance of 10,000\$, Net Income or loss for the end of the month is:

- A) Net Income 7,000\$
- ☒ B) Net loss (3,000\$)
- C) Net Income 3,000\$
- D) Net loss (7,000\$)

11) At year end, Layan company reported ending retained earnings of 93,000\$, and share capital of 77,000\$, As a result, the company would have

- A) Net Income of 16,000\$
- B) Net loss of 16,000\$
- ☒ C) Equity of 170,000\$
- D) Equity of 16,000\$

12) Freihat company had beginning retained earnings of 600,000\$, net income of 100,000\$, dividends of 230,000\$, The ending retained earnings is:

- A) 700,000\$
- ☒ B) 470,000\$
- C) 500,000\$
- D) 600,000

13) The shareholders of Osama murad company invested 40,000\$ cash in exchange for ordinary shares they purchase, This transaction will increase

- A) Revenues and increase share capital by 40,000\$
- ☒ B) Cash and increase Share capital by 40,000\$
- C) Cash and increase Expenses by 40,000\$
- D) Revenues and increase cash by 40,000\$

14) If total liabilities increased by 240,000\$ and assets increased by 80,000\$ during a period of time, then total equity must change by what amount and direction during the same period

- A) 160,000\$ Increased
- B) 320,000\$ Increased
- C) 320,000\$ Decreased
- ☒ D) 160,000\$ Decreased

15) Which of the following would not be considered as an external user of accounting data for Ibn Sena company

- A) Internal revenue service
- B) Labor union
- ☒ C) Company officer
- D) Creditors

16) Bader & Sahim company purchased equipment for 50,000\$ on accounts , the effect on the components of the basic accounting equation of Bader & Sahim company is:

- ☒ A) Increase in Liabilities and increase in assets by 50,000\$
- ☐ B) Decrease in equity and increase in liabilities by 50,000\$
- ☐ C) Decrease in equity and increase in assets by 50,000\$
- ☐ D) No effect on total assets

17) Rami Company paid Dividends for 50,000\$ cash, this transaction will decrease equity and:

- ☐ A) Increase Assets by 50,000\$
- ☐ B) Increase Equity by 50,000\$
- ☒ C) Decrease Assets by 50,000\$
- ☐ D) Decrease Liabilities by 50,000\$

18) The Assumption that requires to include the accounting records with the data that can be expressed in terms of money is:

- ☒ A) Monetary Unit Assumption
- ☐ B) Economic Entity Assumption
- ☐ C) Proprietorship
- ☐ D) Partnership

19) L&R Company have purchased Equipment for 18,000\$ Cash, the effect on the accounting equation is:

- ☒ A) No change on Total Assets
- ☐ B) Increase Assets & Increase Liabilities
- ☐ C) Increase Assets & Decrease Equity
- ☐ D) Decrease Assets & Decrease Liabilities

إذا كان في الخيارات Increase Assets & Decrease assets ولا يوجد خيار A فهو الجواب الصحيح

20) If total Assets Increased by 50,000\$ and total liabilities Decreased by 20,000\$, Total Equity must change by amount of:

- ☐ A) 30,000\$
- ☒ B) 70,000\$
- ☐ C) 50,000\$
- ☐ D) No change on total equity

21) If Expenses are paid in cash, then:

- A) Assets will Increase
- B) Liabilities will decrease
- C) Equity will Increase
- ☒ D) Assets will Decrease

22) Receiving cash results in paying an account receivable affects to components of the accounting equation in the following way:

- A) Increases Assets & decreases Liabilities
- B) Decreases Assets & decreases Liabilities
- ☒ C) Decreases Assets & increases Assets
- D) Decreases Equity & decreases Liabilities

23) The Accounting process is correctly sequenced as:

- A) Recording, Communication, Identification
- ☒ B) Identification, Recording, Communication
- C) Identification, Communication, Recording
- D) Communication, Recording, Identification

24) As of December 31, 2020, Mariam company reported assets of 21,800\$, Liabilities 4,211\$ and retained earnings of 5,308\$, Share capital reported on December 31, 2020 statement of financial position is:

- A) 31,319\$
- ☒ B) 12,281\$
- C) 27,108\$
- D) 22,897\$

25) The historical cost principle states that:

- A) Activities of an entity are to be kept separate and distinct from its owner
- B) Only transaction data capable of being expressed in terms of money be included in the accounting records
- ☒ C) Assets should be recorded at their cost
- D) Assets should be initially recorded at cost and adjusting when the fair value changes

26) Payment of electricity bills affects the components of the accounting equation in the following way:

- A) Decreases Assets & Decreases Liabilities
- ☒ B) Decreases Assets & Decreases Equity
- C) Increases Assets & Decreases Liabilities
- D) Decreases Equity & Decreases Liabilities

27) The monetary unit assumption states that:

- A) Assets should be initially recorded at cost and adjusted when the fair value changes
- B) Assets Should be recorded at their cost
- C) Activities of an entity are to be kept separate and distinct from its owner
- ☒ D) Only transaction data capable of being expressed in terms of money included in the accounting records

28) Diranieh Corporation performed services on account for 24,000\$, This transaction will:

- A) Increase cash & Decrease Accounts Receivable by 24,000\$
- B) Decrease Accounts Payable & Increase Cash by 24,000\$
- ☒ C) Increase Accounts Receivable & Increase Service Revenue by 24,000\$
- D) Increase Cash & Increase Service Revenue by 24,000\$

29) During 2021, Curve Company's Assets decrease 20,000\$, and its liabilities decreased 30,000\$, its equity therefore:

- A) Decreased 50,000\$
- B) Increased 50,000\$
- ☒ C) Increased 10,000\$
- D) Decreased 10,000\$

30) Alshar3a Company paid dividends of 4,600,000\$ in cash to its shareholders on ordinary shares they purchase, this transaction will decrease equity and

- ☒ A) Decrease Assets by 4,600,000\$
- B) Increase Expenses by 4,600,000\$
- C) Decrease Liabilities by 4,600,000\$
- D) No effect on the accounting equation

31) The Assumption that states transactions that can be measured in terms of money should be recorded in the accounting records is:

- ☒ A) Monetary unit assumption
- B) Historical Cost principle
- C) Economic Entity assumption
- D) None of the above

32) Raghad Company incurred advertising for Fatoom News's Company for 3,000 on account, the effect on the accounting equation would results on:

- A) Increases Assets & Increases Equity for 3,000\$
- B) Decreases Assets & Decreases Liabilities for 3,000\$
- ☒ C) Increases Assets & Increases Liabilities for 3,000\$
- D) Increases Assets & Decreases Assets for 3,000\$

33) The _____ states that companies should record assets at their cost

- A) Economic entity assumption
- B) Fair value principle
- C) Monetary unit assumption
- ☒ D) Historical cost principle

34) Ibrahim Company purchased equipment for 100,000\$ on account. The effect on the components of the basic accounting equation is:

- A) Decrease In equity and an increase in assets by 100,000\$
- B) Decrease in equity and an increase in liabilities by 100,000\$
- ☒ C) Increase in Liabilities and an increase in assets by 100,000\$
- D) No effect on total assets

35) Fatoom Company paid dividends of 1,300,000\$ in cash to its shareholders on ordinary shares they purchase. This transaction will decrease

- ☒ A) Cash and Increase Dividends by 1,300,000\$
- B) Cash and Increase Revenue by 1,300,000\$
- C) Cash and Increase Retained Earnings by 1,300,000\$
- D) Cash and Increase Share Capital by 1,300,000\$

36) The best describe for Liabilities is:

- A) Possess service potential
- ☒ B) Existing Debts and Obligations
- C) Future Economic Benefits
- D) Things of value used by the business in its operation

37) Liabilities of a company would not include

- A) Notes Payable
- B) Accounts Payable
- C) Wages Payable
- ☒ D) Wages Expense

38) A company purchased Office supplies for 60,000\$ cash. This transaction would:

- A) Decrease Cash & Decrease Accounts Payable by 60,000\$
- B) Increase Supplies & Decrease Accounts Receivable by 60,000\$
- C) Increase Supplies and Increase Accounts Payable by 60,000\$
- ☒ D) Decrease Cash and Increase Supplies by 60,000\$

39) Net Loss results when:

- A) Assets are more than Liabilities
- B) Revenues Equal Expenses
- C) Revenues are more than Expenses
- ☒ D) Revenues are less than Expenses

40) Net Income results when:

- A) Assets are more than Liabilities
- B) Revenues Equal Expenses
- C) Revenues are less than Expenses
- ☒ D) Revenues are more than Expenses

41) Uniflix Company had beginning retained earnings of 380,000\$, Net income of 104,000\$, and dividends of 104,000\$, The ending retained Earnings is:

A) 172,000\$

☒ B) 380,000\$

C) 548,000\$

D) 484,000\$

42) Sultan Co. Purchased supplies on account for 70,000\$, This transaction would:

A) Decrease Accounts Payable and Decrease Cash by 70,000\$

B) Decrease Accounts Receivable and Increase Supplies by 70,000\$

C) Increase Supplies and Decrease Cash by 70,000\$

☒ D) Increase Accounts Payable and Increase Supplies By 70,000\$

43) Haitham Company Purchased Equipment for 200,000\$ on account. The effect on the components of the basic accounting equation of Haitham Company is:

☒ A) Increase in Liabilities and Increase in Assets by 200,000\$

B) Decrease in Equity and Increase in Liabilities by 200,000\$

C) Decrease in Equity and Increase in Assets by 200,000\$

D) No effect on total Assets

44) Sumaia Company Purchased Supplies for 120,000\$ cash. The effect on the components of the basic accounting equation of Sumaia Company is:

A) Decrease in Equity and Increase in Liabilities by 120,000\$

B) Increase in Liabilities and an Increase in Assets by 120,000\$

☒ C) No change in total assets

D) Decrease in Equity and an Increase in Assets by 120,000\$

45) The best describe for Equity is:

A) Creditorship claim on total assets.

☒ B) Ownership claim on total assets.

C) Benefactor's claim on total assets.

D) Debtor claim on total assets.

46) Equity Increased By:

A) Dividends

B) Expenses

C) Liabilities

☒ D) Revenues

47) Equity Decreased By:

☒ A) Dividends

B) Investment By Shareholders

C) Liabilities

D) Revenues

48) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021 , Net Income at end of the year is:

Accounts Receivable 20,000\$	Equipment 60,000\$
Share Capital Ordinary 200,000\$	Prepaid Insurance 12,000\$
Service Revenue 100,000\$	Prepaid Rent 20,000\$
Accounts Payable 12,000\$	Supplies 40,000\$
Notes Payable 20,000\$	Expenses 50,000\$

A) 150,000\$

B) 100,000\$

☒ C) 50,000\$

D) None of the above

49) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021 , Liabilities are:

Service Revenue 100,000\$	Prepaid Rent 20,000\$
Accounts Payable 12,000\$	Supplies 40,000\$
Notes Payable 20,000\$	Expenses 50,000\$

- ☒ A) 32,000\$
- ☐ B) 30,000\$
- ☐ C) 12,000\$
- ☐ D) 20,000\$

50) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021 , Assets are:

Accounts Receivable 20,000\$	Equipment 60,000\$
Share Capital Ordinary 200,000\$	Prepaid Insurance 12,000\$
Service Revenue 100,000\$	Prepaid Rent 20,000\$
Accounts Payable 12,000\$	Supplies 40,000\$
Notes Payable 20,000\$	Expenses 50,000\$

- ☒ A) 152,000\$
- ☐ B) 150,000\$
- ☐ C) 140,000\$
- ☐ D) 120,000\$

51) Khaled Company has assets that cost \$50 million. The current fair value of the assets is \$75 million. If Khaled Company follows Historical cost principle , the assets will be recorded and reported at

- ☐ A) 75 Million
- ☒ B) 50 Million
- ☐ C) 125 Million
- ☐ D) 25 Million

52) Murad Corporation purchased an investment in the ordinary shares of another corporation for 30,000\$ in 2020. The shares are actively traded on the Jordanian Stock Exchange. The fair value of the investment at December 31, 2022 is 14,000\$. If the company follows the fair value principle, the investment will be reported in the 2022 financial statement at:

A) 44,000\$

B) 30,000\$

☒ C) 14,000\$

D) 16,000\$

53) Emad incorporate purchased land for 70,000\$ in 2021. At December 31, 2022, an appraisal determined the fair value of the land is 110,000\$. If Emad follows the cost principle, in the 2022 financial statements, the land will be reported at:

☒ A) 70,000\$ on the statement of financial position.

B) 110,000\$ on the statement of financial position.

C) 70,000\$ on the income statement.

D) 110,000\$ on the income statement.

54) IFRSs are determined by the

A) Internal Accounting Standards Body.

B) International Accounting Studies Board.

☒ C) International Accounting Standards Board.

D) International Auditors' Standards Body.

55) GAAP stands for

A) Generally Accepted Auditing Procedures.

☒ B) Generally Accepted Accounting Principles.

C) Generally Accepted Auditing Principles.

D) Generally Accepted Accounting Procedures.

56) Convergence refers to

A) Using the same accounting principles from one period to the next.

B) Use of the same accounting principles by all companies.

C) The elimination of all accounting standard-setting bodies except the international accounting standards board.

☒ D) The process of reducing the differences between IFRS & GAAP

57) Recording of economic events involves:

- ☒ A) Keeping a systemic, chronological diary of events
- ☐ B) Analyzing reported information
- ☐ C) Explaining the meaning of reported data
- ☐ D) preparing reports

58) One of the following is not an Asset account:

- ☐ A) Accounts Receivable
- ☐ B) Notes Receivable
- ☒ C) Accounts Payable
- ☐ D) Equipment

59) One of the following is an Liabilities account:

- ☐ A) Accounts Receivable
- ☐ B) Notes Receivable
- ☒ C) Accounts Payable
- ☐ D) Equipment

60) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Assuming that dividends are 20,000\$, Ending Retained Earnings are:

R.E 1/1/2021 120,000\$	Equipment 60,000\$
Share Capital Ordinary 200,000\$	Prepaid Insurance 12,000\$
Service Revenue 100,000\$	Prepaid Rent 20,000\$
Accounts Payable 12,000\$	Supplies 40,000\$
Notes Payable 20,000\$	Expenses 50,000\$

- ☒ A) 150,000\$
- ☐ B) 170,000\$
- ☐ C) 200,000\$
- ☐ D) 128,000\$

61) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Assuming that dividends are 20,000\$, Ending Retained Earnings are:

R.E 1/1/2021 120,000\$	Equipment 60,000\$
Share Capital Ordinary 200,000\$	Prepaid Insurance 12,000\$
Service Revenue 100,000\$	Prepaid Rent 20,000\$
Accounts Payable 12,000\$	Supplies 40,000\$
Notes Payable 20,000\$	Expenses 50,000\$

- ☒ A) 150,000\$
- ☐ B) 170,000\$
- ☐ C) 200,000\$
- ☐ D) 128,000\$

62) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Service Revenue 100,000, Accounts Receivable 30,000\$, Accounts Payable 20,000\$, Notes Payable 10,000\$, Notes Receivable 22,000\$, Expenses 20,000\$, Dividends 10,000\$, Calculate The net income (loss) for Uniflix company

- ☐ A) 150,000\$
- ☐ B) (80,000\$)
- ☒ C) 80,000\$
- ☐ D) 100,000\$

63) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Beginning retained earnings 190,000\$, Service Revenue 100,000, Accounts Receivable 30,000\$, Accounts Payable 20,000\$, Notes Payable 10,000\$, Notes Receivable 22,000\$, Expenses 20,000\$, Dividends 10,000\$, Calculate The Ending Retained Earnings for Uniflix Company

- ☐ A) 270,000\$
- ☐ B) 70,000
- ☒ C) 260,000\$
- ☐ D) 100,000\$

64) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Beginning retained earnings 190,000\$, Service Revenue 100,000, Accounts Receivable 30,000\$, Accounts Payable 20,000\$, Notes Payable 10,000\$, Cash 30,000\$, Notes Receivable 22,000\$, Expenses 20,000\$, Dividends 10,000\$, Equipment 22,000\$, Calculate the total assets for Uniflix Company

A) 82,000\$

B) 74,000

C) 104,000\$

D) 52,000\$

65) Based On the following information that were taken from statement of financial position of Uniflix Company On December 31, 2021, Beginning retained earnings 190,000\$, Service Revenue 100,000, Accounts Receivable 30,000\$, Accounts Payable 20,000\$, Notes Payable 10,000\$, Cash 30,000\$, Notes Receivable 22,000\$, Expenses 20,000\$, Dividends 10,000\$, Mortgage Payable 22,000\$, Calculate the total Liabilities for Uniflix Company

A) 82,000\$

B) 30,000

C) 104,000\$

D) 52,000\$

نهاية الأسئلة

تم بحمد الله